



REFORMING INTERMEDIARY LIABILITY IN THE PLATFORM ECONOMY: A EUROPEAN DIGITAL SINGLE MARKET STRATEGY

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Since the enactment of the first safe harbours and liability exemptions for online intermediaries like Google and Facebook, market conditions have radically changed. Originally, intermediary liability exemptions were introduced to promote an emerging internet market. Do safe harbours for online intermediaries still serve innovation? Should they be limited or expanded? These critical questions—often tainted by protectionist concerns—define the present intermediary liability conundrum. Today, safe harbours still hold, but secondary liability is on the rise. In its Digital Single Market Strategy, the European Commission plans to introduce sectorial legislation that would effectively erode liability exemptions for online intermediaries, especially platforms. In an attempt to close a “value gap” between rightholders and online platforms allegedly exploiting protected content, the proposal would implement filtering obligations for intermediaries and introduce neighbouring rights for online uses of press publications. Meanwhile, an upcoming revision of the Audio-visual Media Services Directive would ask platforms to put in place measures to protect minors from harmful content and to protect everyone from incitement to hatred. Finally, the EU Digital Single Market Strategy has endorsed voluntary measures as a privileged tool to curb illicit and infringing activities online. This Essay would like to contextualize the recent EU reform proposal within a broader move towards turning online intermediaries into internet police. This narrative builds exclusively upon governmental or content industry assumptions, rather than empirical evidence. Also, the intermediary liability discourse is shifting towards an intermediary responsibility discourse. Apparently, the European Commission aligns its strategy for online platforms to a globalized, ongoing move towards privatization of enforcement online through algorithmic tools. This process may advance an amorphous notion of responsibility that incentivizes intermediary self-intervention to police allegedly infringing activities in the internet.

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I. Introduction

Since the mid-nineties, legislators have provided online intermediaries, such as access or hosting providers, with exemptions from liability for wrongful activities committed by users through their services.¹ In most cases, safe harbor legislations provide mere conduit, caching, and hosting exemptions for intermediaries. Safe harbor legislation usually does not require intermediaries to monitor the information which they transmit or store, or to actively seek facts or circumstances indicating illegal activity.² Nonetheless, recent international policy debates have recalibrated towards more secondary liability for online intermediaries. In particular, the European Commission has been seriously considering narrowing the eCommerce Directive horizontal liability limitations for Internet intermediaries³ and putting in place a “fit for purpose” regulatory environment for platforms and intermediaries.⁴

¹ See, for reference to most worldwide safe harbor legislations, The World Intermediary Liability Map (WILMap), <http://cyberlaw.stanford.edu/our-work/projects/world-intermediary-liability-map-wilmap> (a project designed and developed by Giancarlo Frosio and hosted at Stanford CIS).

² See, e.g., Directive 2000/31/EC of the European Parliament and of the Council of 8 June 2000 on certain legal aspects of information society services, in particular electronic commerce, in the Internal Market, 2000 O.J. (L 178) 1-16 [hereinafter eCommerce Directive], at Art. 12-15; The Digital Millennium Copyright Act of 1998, 17 U.S.C. §512 (United States) [hereinafter DMCA], at §512(c)(1)(A-C)

³ See Patrick Van Eecke, *Online Service Providers and Liability: A Plea for a Balanced Approach*, 48(5) COMMON MARKET L. REV. 1455, 1463 (2011) (noting that “Section 4 [of the eCommerce Directive] introduces a horizontal special liability regime for the three types of service providers covered by it. Provided they meet the criteria laid down in Section 4, the service providers will be exempted from contractual liability, administrative liability, tortious / extra-contractual liability, penal liability, civil liability or any other type of liability, for all types of activities initiated by third parties, including copyright and trade mark infringements, defamation, misleading advertising, unfair commercial practices, unfair competition, publications of illegal content, etc.”)

⁴ See European Commission, Communication, A Digital Single Market Strategy for Europe, COM (2015) 192 final, May 6, 2015, at §3.3.

II. A Digital Single Market Strategy for Intermediary Liability

In May 2015 the EU Commission issued its Digital Single Market Strategy (DSMS), announcing steps to be taken “towards a connected digital single market” and plans to reform EU copyright.⁵ The theme of the DSMS is “bringing down barriers to unlock online opportunities” with the aim of moving the EU from twenty-eight national markets to a single one.⁶ Reforms proposed by the DSMS address topics including e-commerce and telecom, cross-border sales,⁷ interoperability and standardization, copyright, and the role of internet service providers (ISPs). The Digital Single Market Strategy focus is on four main issues: (1) cross-border access to content, (2) text and data mining, (3) civil enforcement, and (4) the role of ISPs. In particular, the Commission noted that

[a]n effective and balanced civil enforcement system against commercial scale infringements of copyright is central to investment in innovation and job creation. In addition *the rules applicable to activities of online intermediaries in relation to copyright protected works require clarification*, given in particular the growing involvement of these intermediaries in content distribution. Measures to safeguard fair remuneration of creators also need to be considered in order to encourage the future generation of content.⁸

Apparently, the European Commission plans to enhance the obligations that websites and other internet intermediaries have when dealing with unlawful third-party content.⁹

These enhanced responsibilities would apply when intermediaries deal with illegal content, such as child pornography, terrorist materials, and content that

⁵ *Id.*

⁶ See European Commission, Priority, Digital Single Market, http://ec.europa.eu/priorities/digital-single-market_en.

⁷ See Proposal for a Regulation of the European Parliament and of the Council on addressing geo-blocking and other forms of discrimination based on customers' nationality, place of residence or place of establishment within the internal market and amending Regulation (EC) No 2006/2004 and Directive 2009/22/EC, COM(2016) 289 final (May 25, 2016).

⁸ Digital Single Market Strategy, *supra* note 4, at 2.4.

⁹ *Id.*, at 3.3.2.

infringes upon intellectual property rights.¹⁰ In particular, the Commission is discussing what regulations should apply to a subset of those intermediaries deemed “online platforms” and “whether to require intermediaries to exercise greater responsibility and due diligence in the way they manage their networks and systems—a duty of care.”¹¹ It is worth noting that some European national jurisdictions are already in the process of implementing some form of a “duty of care.”¹² The German coalition agreement, for example, emphasized that “internet service providers should take more responsibility” for mass copyright infringement.¹³ In particular, the German coalition plans to “improve enforcement towards platforms whose business model is mainly based on the infringement of copyright” by ensuring “that such service providers no longer enjoy the general liability privilege as so-called hosting provider and in particular no longer receive advertising revenues.”¹⁴

The DSMS was followed by a number of other actions to bring Europe up to speed in the digital market. Some of these actions are particularly relevant for intermediary liability. First, the Commission released a new Communication, *Towards a Modern, More European Copyright Framework*,¹⁵ anticipating that policy and legislative action would be taken in respect to: (1) exceptions to digital and cross-borders environments;¹⁶ (2) exclusive rights, including both clarifying issues facing linking to other content and considering whether any action specific to news aggregators is needed;¹⁷ and (3) enforcement, including “follow the money” strategies, commercial-scale infringements, application of provisional and precautionary measures, injunctions and their cross-border

¹⁰ *Id.*

¹¹ *Id.*

¹² See eCommerce Directive, *supra* note 2, at Whereas 48, (establishing that “[t]his Directive does not affect the possibility for Member States of requiring service providers, who host information provided by recipients of their service, to *apply duties of care*, which can reasonably be expected from them and which are specified by national law, in order to detect and prevent certain types of illegal activities”) (emphasis added).

¹³ See German Coalition Agreement, *supra* note 2, at 133-134.

¹⁴ *Id.*, at 133.

¹⁵ See Communication from the Commission to the European Parliament, the Council, and the Economic and Social Committee, and the Committee of the Regions, *Towards a Modern More European Copyright Framework*, COM(2015) 260 Final, at 22-23 (December 9, 2015).

¹⁶ *Id.*, at 6-9. See also Proposal for a Regulation of the European Parliament and the Council, on Ensuring the Cross-border Portability of Online Content Services in the Internal Market, COM(2015) 627 final (December 9, 2015).

¹⁷ *Id.*, at 9-10.

effect, notice and action mechanisms, and the “take down and stay down” principle.¹⁸

Meanwhile, the Commission also launched a public consultation on the evaluation and modernization of the legal framework for the enforcement of intellectual property rights.¹⁹ This consultation discusses reform within the DSMS that will affect liability of online intermediaries. Provisions established by the Enforcement Directive on topics including legal action, the right of information, damages and costs, and provisional and precautionary measures might soon be revisited.²⁰ In particular, injunctions against online intermediaries might be considered in the next round of reforms. European law might be amended by explicitly establishing that all types of intermediaries can be enjoined and no specific intermediaries’ liability or violation of any duty of care would be required to issue an injunction.²¹ Apparently, the Commission might also like to clarify or update the European Court of Justice’s position in *Telekabel*.²² First, the Commission might introduce criteria for defining the proportionality of an injunction.²³ Additionally, the Enforcement Directive might be amended to clarify how to balance the effective implementation of enforcement measures and users’ right to freedom of information in case of a blocking order that does not specify the measures that a service provider must take.²⁴

¹⁸ *Id.*, at 10–11; see also Annemarie Bridy, Internet Payment Blockades, 67 Florida L. Rev. 1523 (2015) .

¹⁹ See European Commission, Summary of Responses to the Public Consultation on the Evaluation and Modernization of the Legal Framework for IPR Enforcement (September 14, 2016).

²⁰ See Directive 2004/48/EC of the European Parliament and of the Council of 29 April 2004 on the enforcement of intellectual property rights, 2004 O.J. (L 195) 16 (Corrigendum) [hereinafter Enforcement Directive], Art. 3, 8, 9, 11, 13, and 14.

²¹ See Commission, *supra* note 19, at 36.

²² See UPC Telekabel Wien GmbH v Constantin Film Verleih GmbH and Wega Filmproduktionsgesellschaft mbH, Case C-314/12 (ECJ, March 27, 2014) (Europe) (stating that EU law does not preclude a court injunction that does not specify the measures which an access provider must take to block access to a copyright-infringing website).

²³ See Commission, *supra* note 19, at 36–37.

²⁴ *Id.*

III. Unchanged Intermediary Liability Regime? The Devil is in the Sectorial Legislation and Voluntary Measures

The Commission also launched a public consultation on the role and responsibilities of online intermediaries and platforms.²⁵ The consultation raised a number of pointed questions about the intermediary liability framework in the EU.²⁶ In particular, Section 3 of the Consultation, *Tackling Illegal Content Online and the Liability of Online Intermediaries*, questioned whether the E-Commerce Directive's reference to "mere technical, automatic, and passive" activity by intermediaries is sufficiently clear;²⁷ whether additional categories of intermediaries should be established;²⁸ whether particular types of content merit different notice-and-action procedures;²⁹ whether action should include "take down and stay down" or prospective monitoring for flagged content;³⁰ and whether there should be imposed specific duties of care for certain intermediaries.³¹

A consensus emerged from the consultation that the existing regime is fit for its purpose.³² Therefore, the Commission published a *Communication on Online Platforms and the Digital Single Market* that apparently endorses maintaining the existing intermediary liability regime.³³ However, this broad programmatic statement might be deceiving. As usual, the devil is in the details. The Commission did stress that "a number of specific issues relating to illegal and harmful content and activities online have been identified that need to be

²⁵ See Commission, Public consultation on the regulatory environment for platforms, online intermediaries, data and cloud computing and the collaborative economy (24 September 2015), at 19.

²⁶ *Id.*, at 5.

²⁷ *Id.*, at 18; see also eCommerce Directive, *supra* note 2, at Whereas 42.

²⁸ *Id.*, at 19.

²⁹ *Id.*, at 19-21.

³⁰ *Id.*, at 20-21.

³¹ *Id.*, at 21-23.

³² See European Commission, Full Report on the Results of the Public Consultation on the Regulatory Environment for Platforms, Online Intermediaries and the Collaborative Economy, May 25, 2016.

³³ See Communication from the Commission to the European Parliament, the Council, and the Economic and Social Committee, and the Committee of the Regions, Online Platforms and the Digital Single Market: Opportunities and Challenges for Europe, COM(2016) 288 Final, at 9 (May 25, 2016).

addressed,”³⁴ which suggests that online intermediaries’ liability relating to certain categories of illegal content could be expanded.

In light of the Commission’s conclusion that the current liability regime is generally adequate but specific problems still need to be addressed, the Commission suggested a “sectorial legislation [...] and problem-driven approach”³⁵ that implements different policy approaches for different categories of illegal content. Apparently, this sectorial action will target copyright-protected content, minors’ protection from harmful content, and incitement through hatred.³⁶ In other words, according to the Commission, intermediary liability should be expanded by imposing an obligation on online platforms to behave responsibly by addressing specific content-related problems.

The Commission recommends addressing these content-specific issues with a mix of legislative interventions—by updating the audiovisual and copyright regulations—and voluntary self-regulatory actions.³⁷ The Commission specifically encouraged immediate self-regulatory efforts by online intermediaries that are designed to fight incitement to terrorism and prevent cyber-bullying.³⁸ The *OPE&DSM Communication* puts forward the idea that “the responsibility of online platforms is a key and cross-cutting issue.”³⁹ In doing so, the Commission has endorsed a strategy that shifts the policy approach from intermediary liability to intermediary responsibility, with special emphasis on voluntary measures from intermediaries to curb undesired conducts—and speech—online. As an immediate result of this new policy trend, the Commission recently agreed with all major online hosting providers—including Facebook, Twitter, YouTube and Microsoft—on a code of conduct that includes a series of commitments to combat the spread of illegal hate speech online in Europe.⁴⁰ Apparently, the

³⁴ *Id.*, at 8.

³⁵ See *Communication*, *supra* note 33, at 8.

³⁶ *Id.*

³⁷ *Id.*

³⁸ *Id.*, at 10.

³⁹ *Id.*, at 9.

⁴⁰ See European Commission, European Commission and IT Companies Announce Code of Conduct on Illegal Online Hate Speech, Press Release (May 31, 2016), http://europa.eu/rapid/press-release_IP-16-1937_en.htm; European Commission, Justice and Consumers, Fighting Illegal Online Hate Speech: First Assessment of the New Code of Conduct, Press Release (December 12, 2016), http://ec.europa.eu/newsroom/just/item-detail.cfm?item_id=50840 (urging platforms to do more to implement the code of conduct)

Commission aligns its strategy for online platforms to a globalized, ongoing movement towards privatization of law enforcement online through algorithmic tools.⁴¹

Despite their focus on voluntary intermediary self-regulation, the Commission's proposals do include an important role for legislative intervention. In particular, the Commission proposes updating the Audio-Visual Media Services Directive to address the proliferation of hate speech and content that is harmful to minors on online video sharing platforms.⁴² This sector-specific regulation would require platforms to put in place measures to protect minors from harmful content and to protect everyone from incitement to hatred.⁴³ Commentators have been concerned that the AVMS revision might erode the eCommerce directive no monitoring obligations for video platforms—especially if the “harmful” content category is to be interpreted broadly than “illegal” content.⁴⁴

Therefore, the AVMSD revision also represents an expansion of intermediary liability.

IV. Copyright in the Digital Single Market: Closing the Value Gap?

The Communication also suggested to promote a fairer allocation of value generated by the distribution of copyright-protected content online.⁴⁵ The Commission presented its suggestion for a platform-sensitive update of EU copyright policy in a proposal for a Directive on Copyright in the Digital Single

⁴¹ See Joe McNamee, Leaked EU Communication – Part 1: Privatized Censorship and Surveillance, EDRI, April 27, 2016, <https://edri.org/leaked-eu-communication-privatised-censorship-and-surveillance>.

⁴² See Proposal for a Directive of the European Parliament and the Council amending Directive 2010/13/EU on the coordination of certain provisions laid down by law, regulation or administrative action in Member States concerning the provision of audiovisual media services in view of changing market realities, COM(2016) 287 final (May 25, 2016).

⁴³ *Id.*, at Art. 6 and 28.

⁴⁴ See Daphne Keller, Can a New Broadcasting Law in Europe Make Internet Host Monitor Their Users?, CIS Blog, May 27, 2016, <https://cyberlaw.stanford.edu/blog/2016/05/can-new-broadcasting-law-europe-make-internet-hosts-monitor-their-users>; see also AVMS Draft, *supra* note 42, at Art. 6.

⁴⁵ Communication, *supra* note 33, at 8 [emphasis added].

Market.⁴⁶ This draft directive is part of a larger package aimed at modernizing EU copyright rules and achieving a fully functioning Digital Single Market.

The draft directive aims, *inter alia*, to close the so called “value gap” between internet platforms and copyright holders. The idea of a “value gap” echoes a discourse almost exclusively fabricated by the music and entertainment industry. Apparently, this rhetorical device was coined for the first time in music industry global reports and never used elsewhere.⁴⁷ After unsuccessful attempts to seek judicial redress against user-generated content platforms (“UGC platforms”),⁴⁸ the industry decided to plead its case before the legislators and seek legislative reform.⁴⁹ Rightholders complained that currently law—specifically liability exemptions for UGC platforms, the lack of monitoring obligations, and the notice and take-down regime—left them with no ability to monetize the exchange of protected content on UGC platforms. Rightholders suggested that, rather than entering into licencing agreements, UGC platforms should offer to remove infringing content upon notice or possibly implement voluntary measures like YouTube Content ID.⁵⁰ As a result, other platforms whose primary business is to sell content to users—and therefore do not qualify for liability exemptions and must licence copyrights from rightholders—would be willing to pay less in licencing fees in order to remain competitive with UGC platforms. Recently, the same rhetoric has been redeployed in the United States. In an open letter to President-elect Donald Trump, the music industry sought reform of safe harbour legislation, pointing out that high-tech companies have thrived on “free” music and the “value grab.”⁵¹

There are two major problems with this “value-gap” rhetoric. First of all, it echoes an over-exploited narrative identifying the internet as a “digital threat” rather

⁴⁶ Proposal for a Directive of the European Parliament and of the Council on Copyright in the Digital Single Market, COM(2016) 593 final (September 14, 2016), Art. 13.

⁴⁷ See Martin Husovec, EC Proposes Stay-down & Expanded Obligation to Licence UGC Services, Hut’ko’s Technology Law Blog, September 1, 2016, <http://www.husovec.eu/2016/09/ec-proposes-stay-down-expanded.html>.

⁴⁸ See, e.g., GEMA v. Google, 29 U 2798/15 (Higher Regional Court Munich (OLG), January 28, 2016) (Germany).

⁴⁹ See, e.g., GEMA, EU Copyright Modernisation: First Steps towards a Fair and Balanced Relationship between Authors and Online Platforms, Press Release, September 14, 2016.

⁵⁰ See YouTube, How Content ID Works, <https://support.google.com/youtube/answer/2797370?hl=en>.

⁵¹ See Letter to Donald J. Trump, President-Elect of the United States from Nineteen Music Industry Organizations (December 13, 2016).

than a digital opportunity.⁵² These narratives undervalue the opportunities that the internet, digitization, and sharing economies provide for creators. The other major problem with this rhetoric is that it is scarcely concerned with empirical evidence. The Draft Directive's Impact Assessment admits this quite plainly by noting that "economic impacts are mostly assessed from a qualitative point of view" and that no quantitative analysis of the impacts of the different policy options was undertaken because of "the limited availability of data in this area..."⁵³ The European Copyright Society reinforced this point by stating that they "are disappointed to see that the proposals are not grounded in any solid scientific (in particular, economic) evidence."⁵⁴ In reality, there is no clear evidence on the scale, nature, or effects of copyright infringement in the digital environment, or the effectiveness of more aggressive enforcement strategies. In an authoritative report commissioned by the UK government, Professor Ian Hargreaves noted the major problem with this lack of empirical evidence: that copyright policies should be based on hard and transparent evidence, and so far none has been provided.⁵⁵

Professor Hargreaves is correct: in crafting the European Digital Single Market Strategy, clear empirical evidence should have been carefully reviewed to consider whether creators and the creative market as a whole have been withering or flourishing. So far, independent empirical evidence supporting the present enforcement strategy has never been provided. Also never considered was contrary evidence that might emphasize positive externalities for creativity of the internet, digitization, and platform economy. And this contrary evidence is plentiful. The literature has consistently shown that, in reality, the digital platform economy has created value for content-providers, not a value gap that needs to

⁵² See James Boyle, *THE PUBLIC DOMAIN: ENCLOSING THE COMMONS OF THE MIND* 54-82 (Yale University Press 2009).

⁵³ European Commission, Commission Staff Working Document, Impact Assessment on the Modernisation of EU Copyright Rules, 14 September 2016, SWD(2016) 301 final, PART 1/3, pp. 136.

⁵⁴ IAN HARGREAVES, *DIGITAL OPPORTUNITY. A REVIEW OF INTELLECTUAL PROPERTY AND GROWTH* 10 (May 2011) (emphasis added); see also Joe Karaganis, *Rethinking Piracy*, in *MEDIA PIRACY IN EMERGING ECONOMIES* 4, 4-11 (Joe Karaganis ed., Social Science Research Center 2011) (making the same point).

⁵⁵ IAN HARGREAVES, *DIGITAL OPPORTUNITY. A REVIEW OF INTELLECTUAL PROPERTY AND GROWTH* 10 (May 2011) (emphasis added); see also Joe Karaganis, *Rethinking Piracy*, in *MEDIA PIRACY IN EMERGING ECONOMIES* 4, 4-11 (Joe Karaganis ed., Social Science Research Center 2011) (making the same point).

be closed.⁵⁶ Empirical studies have shown that in the digital environment, the sky is rising, rather than falling, as far as creative industries are concerned.⁵⁷ Piracy has forced the market to adapt to user needs⁵⁸ and the market has in fact adapted by offering new and more affordable ways to enjoy creativity.⁵⁹ This narrative, and empirical economic studies that support it, are nowhere to be found in the impact assessment justifying the draft directive or in the larger institutional debate surrounding it.

1. Ancillary Rights for Publishers

A groundbreaking provision aimed at closing the “value gap”—and affecting closely online intermediaries—is the introduction of a neighbouring right for press publishers for the digital uses of their publication.⁶⁰ This new *sui generis* right would last for twenty years from the date of the publication.⁶¹ It will also apply retroactively to press publications already published.⁶²

Allegedly, the introduction of this neighboring right for press publishers is based on the assumption that “in the transition from print to digital, publishers of

⁵⁶ See Giancarlo F. Frosio, Digital Piracy Debunked: A Short Note on Digital Threats and Intermediary Liability, 5(1) Internet Policy Review 1-22 (2016) (discussing in details the empirical studies cited below).

⁵⁷ See Michael Masnick and Michael Ho, The Sky is Rising: A Detailed Look at the State of the Entertainment Industry 3 (Floor 64, January 2012); see also Joel Waldfogel, *Is the Sky Falling? The Quality of New Recorded Music Since Napster*, VOX, November 14, 2011, <http://www.voxeu.org/index.php?q=node/7274>.

⁵⁸ See ADRIAN JOHNS, PIRACY: THE INTELLECTUAL PROPERTY WARS FROM GUTENBERG TO GATES (U. of Chicago Press, 2010).

⁵⁹ See The Copyright Evidence Wiki: Empirical Evidence for Copyright Policy (Theo Koutmeridis, Kris Erickson, K., Martin Kretschmer (eds.), CREATE Centre: University of Glasgow, 2015), www.CopyrightEvidence.org (accessed December 15, 2016) (trying to establish a body of evidence that allows better decision making in the contested copyright policy field).

⁶⁰ See DSM Directive Proposal, *supra* note 46, at Art. 13, at 11(1) (providing publisher of press publications with the right of reproduction and making available to the public for the digital use of their press publication).

⁶¹ *Id.*, at 11(4) (neighboring rights are characterized by the fact that they are created for categories that are not technically authors and might share only some of the requirements of traditional copyright and have a different scope of protections).

⁶² *Id.*, at 18(2).

press publications are facing problems in licensing the online use of their publications and recouping their investments.”⁶³ According to the Impact Assessment, without this right, press publishers would curb their investment in the digital press publishing market due to complex and inefficient licencing and enforcement in the digital environment.⁶⁴

However, the Impact Assessment does not provide any evidence to support this conclusion.⁶⁵ Also, in advance of the Directive proposal, several leading European scholars have already advised against the introduction of any neighboring rights for publishers, making arguments based on empirical effects on market efficiency.⁶⁶ To put it bluntly, the causality between the demise of traditional press publishing and the growth of new information society services, such as online news aggregators—and hence the need for granting new neighbouring rights—was never shown.⁶⁷ Apparently, this reform is also based on a propagandistic, industry-led narrative, rather than empirical evidence showing a causal link between inefficiencies in the market and the legal instruments proposed.

This proposal follows in the footsteps of press publishers’ rights created by a limited number of Member States. Similar arrangements enacted in Spain and Germany already stirred up quite a debate.⁶⁸ Empirical evidence collected after the

⁶³ *Id.*, Whereas 31.

⁶⁴ See European Commission, Commission Staff Working Document, Impact Assessment on the Modernisation of EU Copyright Rules, SWD(2016) 301 final, 175-192 (September 14, 2016) [hereinafter Impact Assessment]; DSM Directive Proposal, *supra* note 46, at Whereas 31.

⁶⁵ See Impact Assessment, *supra* note 64, at 175-192.

⁶⁶ See Martin Kretschmer, Séverine Dusollier, Christophe Geiger, P. Bernt Hugenholtz, The European Commission’s Public Consultation on the Role of Publishers in the Copyright Value Chain: A Response by the European Copyright Society, 38(10) EIPR 591, 591-595 (2016); Reto M. Hilty, Kaya Köklü, and Valentina Moscon, Position Statement of the Max Planck Institute for Innovation and Competition on the “Public consultation on the role of publishers in the copyright value chain” (June 15, 2016); Eleonora Rosati, *Neighbouring rights for publishers: are national and (possible) EU initiatives lawful?*, 47(5) IIC 571, 571, 585 (2016); Alexander Peukert, An EU Related Right for Press Publishers Concerning Digital Uses. A Legal Analysis (Research Paper of the Faculty of Law, Goethe University Frankfurt am Main No. 22/2016, 2016), § 5-13.

⁶⁷ See Susana Navas Navarro (2015), ‘Periódicos digitales y agregadores de contenido informativo en España’, *RIDA*, Vol. 246, pp. 120-124.

⁶⁸ See Christophe Geiger, Oleksandr Bulayenko, and Giancarlo Frosio, Reaction of CEIPI to the European Commission’s Proposal on Neighbouring Rights for Press Publishers (CEIPI, November 2016), at 6-8 (reviewing these national legislations).

enactment of these neighbouring rights showed that the reforms were ineffective and altogether detrimental.

In Germany, the law did not achieve the desired results. Actually, German press publishers authorized Google to index their publications and feature them in Google's news and search services free of charge.⁶⁹ Some smaller news aggregation services operating in Germany delisted press publishers or stopped using snippets.⁷⁰ In Spain, the adoption of the law also led to unexpected results.⁷¹ First, Google shut down its Spanish Google News service. In addition, recent empirical evidence confirmed that news aggregators had a positive effect on online news sites in Spain, which directly contradicts the predictions in the Impact Assessment and the Directive Proposal. The study found that in the first three months of 2015 the closing of Google News and a number of smaller news aggregation services led to a decline of internet traffic to Spanish newspapers of more than six percent. Because new aggregators have a "market expansion effect,"⁷² the closing of the news aggregators particularly hurt small publications by decreasing the number of new visitors to their sites." It also created barriers to innovation for other information intermediaries that compile customized services based on users' online activities or aggregate content for mobile phones, as well as algorithmic aggregators designed to deliver dynamic content.⁷³

These findings show troubling potential negative externalities of the reform, especially in terms of access to information (and therefore democratization) and innovation policy. First, the proposal might negatively impact smaller publishers, therefore promoting a re- centralization of online news outlets. This would detract from the diversity of information on the Internet, limit

⁶⁹ See Andreas Becker (2014), 'German publishers vs. Google', Deutsche Welle, 30 October 2014; Raquel Xalabarder, Press Publisher Rights in the New Copyright in the Digital Single Market Draft Directive (CREATe Working Paper 2016/15, December 2016), at 16-17.

⁷⁰ See Kretschmer, Dusollier, Geiger, and Hugenholtz, *supra* note 66, at 594.

⁷¹ See Xalabarder, *supra* note 69, at 17-21.

⁷² The phrase "market expansion effect" refers to the ability of news aggregators to drive visitors to news websites who would otherwise not have visited those websites.

⁷³ See Pedro Posada de la Concha, Alberto Gutiérrez García and Hugo Hernández Cobos, Impacto del Nuevo Artículo 32.2 de la Ley de Propiedad Intelectual Informe para la Asociación Española de Editoriales de Publicaciones Periódicas (AEEPP) [Impact of the New Article 32.2 of the Intellectual Property Law: Study for the Spanish Association of Publishers of Periodical Publications] (July 9, 2015).

users' access to information, and hinder democratization.⁷⁴ The literature explaining why centralization hinders democratization is plentiful.⁷⁵ As Jerome Barron argued, a democratic system should aim to decentralize information. In general, concentrated systems are likely to exclude challenges to prevailing wisdom⁷⁶ and translate unequal distribution of economic power into unequal distribution of power to express ideas.⁷⁷ Media concentration creates disparities in the ability to be heard.⁷⁸ A study on the state of the implementation of the UNESCO Convention on the Protection and Promotion of the Diversity of Cultural Expressions⁷⁹ in Europe noted that, while some copyright is necessary, too much copyright is detrimental to diversity of cultural expression.⁸⁰ Diversity of cultural expression is particularly threatened by intellectual property rights "in markets that are dominated by big corporations exercising collective power as oligopolies."⁸¹ This process of concentration endangers cultural diversity in that "a handful—six to ten vertically integrated communications companies—will soon produce, own and distribute the bulk of the culture and information circulating in the global marketplace."⁸²

⁷⁴ See Peukert, *supra* note 66, at § 186-194.

⁷⁵ See Jerome A. Barron, *Access to the Press: A New First Amendment Right*, 80 HARV. L. REV. 1641, 1641 (1967); Jerome A. Barron, *Access--The Only Choice for the Media?*, 48 TEX. L. REV. 766 (1970); see also Neil W. Netanel, *New Media in Old Bottles? Barron's Contextual First Amendment and Copyright in the Digital Age*, 76 GEO. WASH. L. REV. 952 (2008); Yochai Benkler, *A Speakers Corner Under the Sun*, in *COMMODIFICATION OF INFORMATION: POLITICAL, SOCIAL, AND CULTURAL RAMIFICATIONS* 291-315 (Niva Elkin-Koren and Neil W. Netanel eds., Kluwer Law International 2002).

⁷⁶ See Barron, *supra* note 75, at 1641-1647.

⁷⁷ See Owen M. Fiss, *Free Speech and Social Structure*, 71 IOWA L. REV. 1405, 1412-1413 (1986); Jack M. Balkin, *Some Realism About Pluralism: Legal Realist Approaches to the First Amendment*, 1990 DUKE L. J. 375, 404-412 (1990).

⁷⁸ See Netanel Neil W., *Copyright and Democratic Civil Society*, 106 YALE L. J. 283 (1996); Neil W. Netanel, *Market Hierarchy and Copyright in Our System of Free Expression*, 53 VAND. L. REV. 1879, 1879-1882 (2000); Netanel Neil W., *Copyright and "Market Power" in the Marketplace of Ideas*, in *ANTITRUST, PATENTS AND COPYRIGHT* 141-178 (Howard Shelanski & Francois Leveque eds., Edward Elgar 2005); see also Christopher Yoo, *Copyright and Democracy: A Cautionary Note*, 53 VAND. L. REV. 1933 (2000).

⁷⁹ See UNESCO Convention on the Protection and Promotion of the Diversity of Cultural Expressions, October 20, 2005, CLT-2005.

⁸⁰ Germann Avocats, *Implementing the UNESCO Convention of 2005 in the European Union*, IP/B/CULT/IC/2009_057 (May 2010) (study prepared for the European Parliament).

⁸¹ *Id.*

⁸² RONALD V. BETTIG, *COPYRIGHTING CULTURE: THE POLITICAL ECONOMY OF INTELLECTUAL PROPERTY* 38 (Westview Press 1996).

Second, the creation of new neighbouring rights enjoying retroactive effects would remove material from the public domain and consequently impinge freedom of expression and democratization.⁸³ Public domain's enclosure enhances centralized media's market power, while proportionally disincentivising decentralization. The public domain is a metaphysical public forum that belongs "to everyone, because [it] belong[s] to no one, from which people cannot be excluded on the grounds that a property owner wishes to exclude them."⁸⁴ Thus, "the public domain represents our free speech concerns within the realm of copyright law."⁸⁵ Consequently, any increase or decrease in the public domain will proportionally affect our freedom of speech.

In addition, the public domain promotes rich and diverse expressions regardless of the market power of the speakers, as there are no costs inherent in utilizing the public domain. Any decrease in the public domain will produce the most direct repercussions on people with less ability to finance the dissemination of their speech. Copyright expansion favors organizations that own large information inventories over smaller organizations and individuals who will have to buy access to the information that is removed from the public domain.⁸⁶ Thus, any contraction of the public domain will work against the goal of bringing "the millions of dispossessed and disadvantaged [. . .] in from the margins of

⁸³ For a discussion of the negative effects of the enclosure of the public domain for European citizens, see Giancarlo F. Frosio, COMMUNIA Final Report on the Digital Public Domain (report prepared for the European Commission on behalf of the COMMUNIA Network and the NEXA Center) (2011); see also Xalabarder, *supra* note 69, at 22-24 (noting that this proposal completely upsets the dichotomy between unprotected information and protected expressions embedded in copyright law).

⁸⁴ Rebecca Tushnet, *Domain and Forum: Public Space, Public Freedom*, 30 COLUM. J. L. & ARTS 597, 598 (2007).

⁸⁵ Michael D. Birnhack, *More or Better? Shaping the Public Domain*, in THE FUTURE OF THE PUBLIC DOMAIN: IDENTIFYING THE COMMONS IN INFORMATION LAW 62 (Lucie Guibault and P. Bernt Hugenholtz eds., Kluwer Law International 2006); see also Yochai Benkler, *Free as the Air to Common Use: First Amendment Constraints on the Enclosure of the Public Domain*, 74 N.Y.U. L. REV. 354, 393 (1999).

⁸⁶ Yochai Benkler, *A Political Economy of the Public Domain: Markets in Information Goods vs. The Marketplace of Ideas*, in EXPANDING THE BOUNDARIES OF INTELLECTUAL PROPERTY: INNOVATION POLICY FOR THE KNOWLEDGE SOCIETY 273-74 (Rochelle C. Dreyfuss, Diane Leenheer Zimmerman & Harry First eds., Oxford Univ. Press, 2001).

society and cultural policy in from the margins of governance.”⁸⁷

These consequences are especially likely to follow from the removal of information from the online public marketplace as the internet is “a driver of greater pluralism in the media, giving both access to a wider range of sources and points of view as well as the means for individuals—who might otherwise be denied the opportunity—to express themselves fully and openly.”⁸⁸ The Internet changed freedom of expression’s focus from the right of a few privileged speakers to address the masses to the right of each person to participate in a “democratic culture.”⁸⁹

Third, introducing neighboring rights for press publishers would act as a strong disincentive for innovators. It would back up property owners’ attempts to leverage their hold-out power to block progress. Anti-competitive behaviors are common in this context. Property owners repeatedly try to leverage their hold-out power to block progress. This behavior applies to property at large,⁹⁰ but surfaced often throughout the history of copyright.⁹¹ This time, innovators will be disincentivized from developing technologies that compile and aggregate content on the Internet.

Finally, an additional point should be stresses in connection with the overall scope of this reform process. Ancillary rights to press publication for online uses would delay, rather than promoting the Digital Single Market. The introduction of an additional layer of twenty-eight national rights would certainly lead to further

⁸⁷ THE EUROPEAN TASK FORCE ON CULTURE AND DEVELOPMENT, IN FROM THE MARGINS: A CONTRIBUTION TO THE DEBATE ON CULTURE AND DEVELOPMENT IN EUROPE 276 (1997) (report prepared for the Council of Europe); *see also* WORLD COMMISSION ON CULTURE AND DEVELOPMENT, OUR CREATIVE DIVERSITY (July 1996).

⁸⁸ Commission Communication, A Digital Agenda for Europe, COM (2010) 245 final (May 19, 2010), at 30.

⁸⁹ *See* Jack M. Balkin, *Digital Speech and Democratic Culture: A Theory of Freedom of Expression for the Information Society*, 79 N.Y.U. L. REV. 1 (2004).

⁹⁰ *See* Carol M. Rose, *The Comedy of the Commons: Custom, Commerce, and Inherently Public Property*, 53 U. CHI. L. REV. 711 (1986), at 749-50, 752 (discussing how large public projects such as highways or railroads are vulnerable to the hold-out power of single property owners).

⁹¹ *See* Hannibal Travis, *Building Universal Digital Libraries: An Agenda for Copyright Reform*, 33 PEPP. L. REV. 761, 786-792 (2006) (sketching a quick history of hold outs on cultural technological advancements); *see also* Giancarlo F. Frosio, Google Books Rejected: Taking the Orphans to the Digital Library of Alexandria, 28 SANTA CLARA COMPUTER & HIGH. TECH. L. J. 81-141, 128-130 (2011) (for a review of the relevant case law).

challenges related to fragmentation and territoriality of rights.⁹² In addition, as there is already no uniform approach to exceptions or limitations to twenty-eight national authors' rights, which has led to considerable uncertainty in that area of the law—allowing the creation of twenty-eight additional national rights for publishers would have the same result, which is exactly what the Digital Single Market is designed to avoid.⁹³

2. Platforms' Revenue-share Agreements and Filtering

The proposed reform also includes a second provision that would impact platform operations broadly. It requires intermediaries “that store and provide access to large amounts of works [. . .] uploaded by their users” to take appropriate and proportionate “measures to [either] ensure the functioning of agreements concluded with rightholders for the use of their works” or “prevent the availability on their services of [such] works,” including through “the use of effective content identification technologies.”⁹⁴ Put bluntly, under this provision, user-generated content websites would have to shoulder more responsibility for rooting out infringements and share revenues with creators.

The scope of the provision is still to be determined. In particular, Recital 38(1-2) of the proposal—read together with Article 13—might cause some interpretive headaches.

Apparently, the new proposal would apply to active hosting providers. The proposal refers only to those who “store and provide access” to protected works, restricting its scope to hosting providers.⁹⁵ If a hosting provider is not eligible for the liability exemption established by Article 14 of the eCommerce Directive, it is obliged to enter into licensing agreements with rightholders.⁹⁶ For the Article 14 exemption not to apply, a hosting provider must “play an active role.”⁹⁷ In defining a hosting provider that plays an active role, Recital 38 of the

⁹² See Geiger, Bulayenko, and Frosio, *supra* note 68., at 8-9

⁹³ *Id.*, at 10-11.

⁹⁴ DSM Directive Proposal, *supra* note 46, at Art. 13(1).

⁹⁵ *Id.*, at Recital 38.

⁹⁶ *Id.*

⁹⁷ *Id.*

proposal states that it must go “beyond the mere provision of physical facilities.”⁹⁸ Redeploying the language in *L’Oréal v. eBay*, the proposal notes that playing an active role “include[es] optimising the presentation of the uploaded works or subject matter or promoting them, irrespective of the nature of the means used therefor.”⁹⁹ By referring to *L’Oréal*, the proposal might also imply that a hosting provider can still be protected even if it is not completely passive as long as it does not have knowledge or control over the data which is being stored.¹⁰⁰ Therefore, it is unclear whether a sharing platform like YouTube, Dailymotion or Soundcloud qualifies as an active host under the proposal.¹⁰¹

There are also several textual issues with this proposal that would need clarification—especially the notion of “large amounts” of works whose scope of application becomes impossible to determine.¹⁰² However, there is one murky point in the proposal that is especially sensitive. Apparently, the proposal implies that hosting providers that do not just merely provide physical facilities, “thereby” perform an act of communication to the public.¹⁰³ The Commission has reinforced this statement elsewhere. The Communication on Online Platforms and the Digital Single Market noted that rebalancing is needed because “new forms of online content distribution have emerged [...] that may make copyright protected content uploaded by end-users widely available.”¹⁰⁴ Apparently, the Commission characterizes platforms as actively “making available” content uploaded by end-users and considers doing so an act of communication to the public. The reasons for this characterization are quite apparent. If platforms communicate to the public, they would be potentially liable for copyright infringement. Therefore, they can be obliged to enter into licencing agreements, rather than monetization agreements on a voluntary basis.

⁹⁸ *Id.*

⁹⁹ *Id.*; see also *L’Oréal SA and Others v. eBay International AG and Others*, C-324/09, § 116 (ECJ, July 12, 2011).

¹⁰⁰ See *L’Oréal*, *supra* note 99, §112-116; see also Patrick Van Eecke, *supra* note 3, at 1455 (supporting a “storage but no knowledge” test).

¹⁰¹ See Eleonora Rosati, *Why a Reform of Hosting Providers’ Safe Harbour is Unnecessary under EU Copyright Law* (CREATe Working Paper 2016/11, August 2016).

¹⁰² See, for a full discussion these textual issues—and an in-depth analysis of the proposal, Giancarlo Frosio and Christophe Geiger, *Reaction of CEIPI to the European Commission’s Proposal on Certain Uses of Protected Content by Online Services* (CEIPI, forthcoming, February 2017).

¹⁰³ *Id.*

¹⁰⁴ *Id.*

However, characterizing hosting providers as “communicating to the public” is a bold statement that comes as a surprise given the present state of EU law. First, the apparent implication that, unless liability exemptions apply, intermediaries storing and providing public access to protected works would be communicating to the public comes as an absolute novelty. Actually, there is no direct relation between liability and exemptions, which function as an extra-layer of protection intended to harmonize at the EU level conditions to limit intermediary liability.¹⁰⁵ The inapplicability of the exemptions does not imply as such that online intermediaries would be liable.

In addition, the proposal, by characterizing active hosts as communicating to the public, would make them directly liable, rather than secondary liable as commonly understood. Communication to the public includes making a work available to the public “in such a way that members of the public may access it from a place and at a time individually chosen by them.”¹⁰⁶ According to the European Court of Justice, communicating to the public requires that the user must—in full knowledge of the consequences of its actions—give access to the protected work to an additional public so that—absent that intervention—that ‘new’ public is unable to enjoy the works.¹⁰⁷ As a default rule, end-users are generally understood to be those communicating to the public in the digital environment. As end-users physically upload the work—while online intermediaries do not—they first become that necessary intervention enabling the new public to enjoy the protected work. Also, the requested full knowledge of the infringing consequences of users’ actions would be a high bar for finding intermediaries directly liable. Actually, in some residual circumstances, intermediaries have been held directly liable for their users’ copyright infringement, but only when their involvement in the infringement is so substantial that they have been found to have communicated the works themselves, rather than being used by others to perform the communication.¹⁰⁸

¹⁰⁵ *Id.*

¹⁰⁶ See Directive 2001/29/EC of the European Parliament and of the Council of 22 May 2001 on the Harmonisation of Certain Aspects of Copyright and Related Rights in the Information Society, 2001 O.J. (L 167) 10-19 [hereinafter InfoSoc Directive], Art. 3(1).

¹⁰⁷ See *Sociedad General de Autores y Editores de España (SGAE) v Rafael Hoteles SA*, C-306/05, at § 42 (CJEU, 7 December 2006); *Football Association Premier League and Others v. QC Leisure and Others*, C-403/08 and C-429/08, at § 195 (CJEU, 3 February 2011).

¹⁰⁸ Standards have varied greatly from jurisdiction to jurisdiction. For example, in the UK, there is clear distinction between primary and secondary infringement, which makes a high bar for finding intermediaries directly liable. See, e.g., *Twentieth Century Fox Film Corp v Newzbin Ltd* [2010] EWHC

However, traditionally, intermediaries have been held secondary liable, rather than primarily. In most EU jurisdiction, secondary liability requires highly demanding conditions that are derived from miscellaneous doctrines of tort law,¹⁰⁹ such as the doctrines of joint tortfeasance, authorization, inducement, common design, contributory liability, vicarious liability, or extra-contractual liability.¹¹⁰ Surprisingly, the wording of this proposal would make direct liability for intermediaries the default rule, rather than a residual option. Apparently, intermediary services would automatically be assumed to be infringing and directly liable for infringements materially committed by others. This interpretation would wind the clock back to the debates in the 1990s, when the introduction of safe harbour provisions for online intermediaries won the day by a narrow margin over initial proposals of holding intermediaries fully liable for copyright infringement.¹¹¹

The proposal encourages the use of effective content recognition technologies, such as *YouTube's* Content ID or other automatic infringement assessment systems, to prevent the availability of infringing content. In practice,

608 (Ch) (UK) (finding an indexing website directly liable for having communicated works to the public because it had “intervened in a highly material way to make the claimants’ films available to a new audience, that is to say its premium members,” in particular “by providing a sophisticated technical and editorial system which allows its premium members to download all the component messages of the film of their choice upon pressing a button, and so avoid days of (potentially futile) effort in seeking to gather those messages together for themselves”); *Football Association Premier League Ltd v British Sky Broadcasting Ltd & Others* [2013] EWHC 2058 (Ch) (UK).

¹⁰⁹ See Kamiel Koelman and Bernt Hugenholtz, *Online Service Provider Liability for Copyright Infringement* (WIPO Doc. OSP/LIA/1 Rev.1, 22 November 1999), at 5-8; BGB [German Civil Code], Art. 830 (governing joint tortfeasance).

¹¹⁰ There is no caselaw and no harmonized regulation on secondary copyright liability at the EU level. Each Member State has deployed differing and miscellaneous standards. See Tatiana-Eleni Synodinou, *Intermediaries’ Liability for Online Copyright Infringement in the EU: Evolutions and Confusions*, 31 COMP. L. & SEC. REV. 57, 57-67 (2015); Christina Angelopoulos, *Beyond the Safe Harbours: Harmonising Substantive Intermediary Liability for Copyright Infringement in Europe*, 3 INTELL. PROP. QUARTERLY 253, 254 (2013); Mari Männiko, *Intermediary Service Providers’ Liability Exemptions: Where Can We Draw the Line?*, in *REGULATING ETECHNOLOGIES IN THE EUROPEAN UNION: NORMATIVE REALITIES AND TRENDS* (Tanel Kerikmäe ed., Springer Int’l Publ. 2014) (noting that comparative analysis show that the present legislation is too general and gives too much room for interpretation); Van Eecke, *supra* note 3., at 1457-1461; Broder Kleinschmidt, *An International Comparison of ISP’s Liabilities for Unlawful Third Party Content*, 18(4) INTERNATIONAL JOURNAL OF LAW AND INFORMATION TECHNOLOGY 332, 345-353 (2010).

¹¹¹ See Bruce A. Lehman, *Intellectual Property and the National Information Infrastructure: The Report of the Working Group on Intellectual Property Rights* 114-124 (DIANE Publishing, 1995).

the proposal would *de facto* force intermediaries to develop and deploy monitoring and filtering systems. This proposal follows in the footsteps of a well-established path in recent intermediary liability policy. Recent case law has imposed proactive monitor obligations on intermediaries for copyright infringement—such as *Allostreaming* in France, *Dafra* in Brazil, *RapidShare* in Germany, or *Baidu* in China.¹¹² Actually, the emerging enforcement of proactive monitoring obligations has been spanning the entire spectrum of intermediary liability subject matters: intellectual property, privacy, defamation, and hate/dangerous speech.¹¹³

In this context, however, notable exceptions—such as the landmark *Belen* case in Argentina—highlight also a fragmented international response to intermediary liability.¹¹⁴ There might be a well-marked trend in intermediary liability policy leading to the death of “no monitoring obligations.”¹¹⁵ Current Internet policy—especially in Europe—is silently drifting away from a fundamental safeguard for users freedom of expression online, which has been guarding against any “invisible handshake” between rightholders, online intermediaries, and governments.

At first glance, inconsistency with the EU *acquis* might irremediably plague the introduction of filtering obligations. The introduction of any filtering technology—which would *de facto* impose general monitoring obligations as in order to filter unwanted content, all content must be monitored¹¹⁶—would

¹¹² See *APC et al v Google, Microsoft, Yahoo!*, Bouygues et Al (TGI Paris 2013) (France); *Nord-Ouest Production v. S.A. DailyMotion and S.A. UGC Images* (Civil Court of Paris, 13 July 2007) rev'd by, Christian C., *Nord Ouest Production v. Dailymotion, UGC Images* (Cour de Cassation, February 17, 2011); *Google Brazil v. Dafra*, Special Appeal No. 1306157/SP (Superior Court of Justice, March 24, 2014) (Brazil); *GEMA v. RapidShare* I ZR 80/12 (Bundesgerichtshof [BGH], August 15, 2013) (Germany); *Zhong Qin Wen v Baidu*, 2014 Gao Min Zhong Zi, No. 2045 (Beijing Higher People's Court 2014).

¹¹³ See *Google v. Mosley* (TGI Paris, November 6, 2013) (France); *Mosley v Google* [2015] EWHC 59 (QB) (United Kingdom); *Rolex v. eBay/Ricardo*, *supra* note 111; *Rolex v. eBay* (a.k.a. *Internetversteigerung II*), I ZR 35/04 (BGH, 19 April 2007) (Germany); *Rolex v. Ricardo* (a.k.a. *Internetversteigerung III*), Case I ZR 73/05, (BGH, 30 April 2008) (Germany); *Delfi AS v. Estonia*, No. 64569/09 (ECtHR, June 16, 2015).

¹¹⁴ See *Rodriguez M. Belen v. Google*, R.522.XLIX. (Supreme Court, October 29, 2014) (Argentina).

¹¹⁵ A detailed discussion of this trend will be the subject of a forthcoming paper. See Giancarlo F. Frosio, *The Death of 'No Monitoring Obligations': A Story of Untameable Monsters* (forthcoming 2017).

¹¹⁶ See *Belgische Vereniging van Auteurs, Componisten en Uitgevers CVBA (SABAM) v. Netlog NV*, C-360/10, Recital 36-38 (ECJ, February 16, 2012 (Europe)).

inevitably call into question necessary coordination with the eCommerce Directive. Apparently, this proposal would contradict the eCommerce Directive's intermediary liability regime—in particular the no-monitoring rule set out in Article 15 of the eCommerce Directive.¹¹⁷ The eCommerce Directive prohibits *general* monitoring obligations, although it does allow national law to provide for monitoring obligations “in a specific case.”¹¹⁸ In order to distinguish general from specific monitoring obligation, it should be considered that (1) as an exception, specific monitoring obligations must be interpreted narrowly, (2) both the scope of the possible infringements and the amount of infringements that can be reasonably expected to be identified, must be sufficiently narrow, and (3) it must be obvious which materials constitutes an infringement.¹¹⁹ According to the above, the proposed obligation would fall in the former category, rather than the latter.¹²⁰

Ça va sans dire, the proposal conflicts openly with consistent—and unambiguous—European jurisprudence. The European Court of Justice has reinforced the position that there is no room for general proactive monitoring and filtering mechanisms under EU law.¹²¹ In multiple cases, the court has decided that the eCommerce Directive trumps conflicting measures in other intellectual property legislation.¹²² In *SABAM v. Netlog*, the Court specifically referenced hosting providers, using language that unmistakably covers the proposal in Art. 13. According to the ECJ, European law must be interpreted as preventing nations from requiring a hosting provider to install a system for filtering: (1) information which is stored on its servers by its service users; (2) which applies indiscriminately to all of those users; (3) as a preventative measure; (4) exclusively at its expense; and (5) for an unlimited period, (6) which is capable of identifying electronic files containing musical, cinematographic or audio-visual

¹¹⁷ See eCommerce Directive, *supra* note 2, at Art. 14-15.

¹¹⁸ *Id.*, at Art. 14(3) and Recital 47.

¹¹⁹ Van Eecke, *supra* note 3, at 1457-1461

¹²⁰ *Id.*

¹²¹ See *Scarlet Extended SA v. Société belge des auteurs, compositeurs et éditeurs SCRL (SABAM)*, Case C-70/10 (ECJ, November 24, 2011) (Europe) (access providers); *Belgische Vereniging van Auteurs, Componisten en Uitgevers CVBA (SABAM) v. Netlog NV*, C-360/10 (ECJ, February 16, 2012) (Europe) (hosting providers).

¹²² See *L'Oréal*, *supra* note 99, at § 139; *Scarlet*, *supra* note 116, at § 40; *Netlog*, *supra* note 116, at § 52.

works.¹²³

Also, this proposal is systemically inconsistent with EU law because it would create a strict liability regime, rather than a negligence-based regime.¹²⁴ At present, the eCommerce intermediary liability regime can be categorized as a negligence regime based on actual or constructive knowledge.¹²⁵ The hosting exemption works according to a notice and take down regime: upon knowledge of the infringement occurring through its services, the intermediary must act expeditiously to remove the infringing materials.¹²⁶

Introducing a strict liability system for online intermediaries will upset the delicate balance between copyright protection and other fundamental rights like access to information, freedom of expression, and freedom of business. Intermediaries should be governed by the general rules of civil liability (based on negligence), not strict liability IP rules. In the words of the Advocate General of the European Court of Justice—which although crafted in the context of trademark infringement online would apply *mutatis mutandis* to copyright as well:

Liability rules are more appropriate, since they do not fundamentally change the decentralised nature of the internet by giving trade mark proprietors general—and virtually absolute—control over the use in cyberspace of keywords which correspond to their trade marks. Instead of being able to prevent, through trade mark protection, any possible use—including, as has been observed, many lawful and even desirable uses—trade mark proprietors would have to point to specific instances giving rise to Google’s liability in the context of illegal damage to their trademarks.¹²⁷

A negligence-based system would better balance the people’s right to

¹²³ See Netlog, *supra* note 116, at § 26 and 52.

¹²⁴ Pablo Baistrocchi, *Liability of Intermediary Service Providers in the EU Directive on Electronic Commerce*, 19 SANTA CLARA HIGH TECH. L.J. 111, 114 (2002).

¹²⁵ *Id.*

¹²⁶ See eCommerce Directive, *supra* note 2, at Art. 14.

¹²⁷ Google France SARL and Google Inc. v. Louis Vuitton Malletier SA, C-236/08, Google France SARL v. Viaticum SA and Luteciel SARL (C-237/08) and Google France SARL v. Centre national de recherche en relations humaines (CNRRH) SARL and Others, C-238/08, joined cases, § 123 (CJEU, 23 March 2010) (Advocate General Opinion).

information, freedom of expression, and freedom of business with the protection of copyrights.

Finally, in a related fashion to what just mentioned above—filtering technologies might conflict with fundamental rights by erring on the side of copyright protection.

According to the ECJ, filtering would not be “appropriate and proportionate” as the proposal does suggest.¹²⁸ Instead, filtering technologies would rather fail to strike a ‘fair balance’ between copyright and other fundamental rights.¹²⁹ They would undermine users’ freedom of expression and right to privacy¹³⁰ and the provider’s freedom to conduct business.¹³¹ In particular, in the words of the European Court of Justice, these measures “could potentially undermine freedom of information, since that system might not distinguish adequately between unlawful content and lawful content.”¹³² First, automatic infringement assessment systems might undermine the enjoyment of users’ exceptions and limitations.¹³³ DRM effects on exceptions and limitations have been highlighted by copious literature.¹³⁴ Similar conclusions apply to this scenario. Automated systems cannot replace human judgment that should flag a certain use as fair—or falling within the scope of an exception or limitation.¹³⁵ Also, complexities regarding the public domain status of certain works, for example, might confuse the content recognition technologies.¹³⁶ At the present level of

¹²⁸ See Netlog, *supra* note 121, at §

¹²⁹ See Charter of Fundamental Rights of the European Union, C326/391 (26 October 2012) [hereinafter EU Charter].

¹³⁰ See EU Charter, *supra* note 129, at Art. 8 and 11.

¹³¹ See EU Charter, *supra* note 129, at Art. 16.

¹³² Netlog, *supra* note 121, at § 50.

¹³³ *Id.*; see also Leron Solomon, *Fair Users or Content Abusers? The Automatic Flagging of Non-Infringing Videos by Content ID on Youtube*, 44 HOFSTRA L. REV. 237 (2015); Corinne Hui Yun Tan, *Lawrence Lessig v Liberation Music Pty Ltd – YouTube’s Hand (or Bots) in the Over-zealous Enforcement of Copyright*, 36(6) E.I.P.R. 347, 347–351 (2014).

¹³⁴ See Frosio, *supra* note 83, at 99–103, 135–141 (discussing most of the relevant literature and major threats that technological protection measures pose for fair dealings, privileged and fair uses).

¹³⁵ See Dan L. Burk and Cohen, Julie E., *Fair Use Infrastructure for Copyright Management Systems* (Georgetown Public Law Research Paper No. 239731, August 18, 2000), available at <https://ssrn.com/abstract=239731>; Matthew Sag, *Internet Safe Harbors and the Transformation of Copyright Law*, 93 NOTRE DAME L. REV. (2017), at 1.

¹³⁶ See Netlog, *supra* note 121, at § 50.

technological sophistication, false positives (content incorrectly flagged as protected) would have chilling effects that would undermine freedom of information, expression, and possibly business.

Also, monitoring obligations erect barriers to innovation by making it more expensive for platforms to enter and compete in the market. The proposal's suggested monitoring obligations would force intermediaries to develop and deploy costly technology.¹³⁷ The ECJ has emphasized in the past that such an obligation "would result in a serious infringement of the freedom of the hosting service provider to conduct its business."¹³⁸ In particular, according to the ECJ, this obligation would be contrary to Article 3 of the Enforcement Directive, which provides that "procedures and remedies necessary to ensure the enforcement of the intellectual property rights [. . .] shall not be unnecessarily complicated or costly [and] shall be applied in such a manner as to avoid the creation of barriers to legitimate trade."¹³⁹ Whether technology is too costly—therefore limiting market incentives for present market players—might be up to debate as shown by the *Allostreaming* case in France and the *Dafra* case in Brazil.¹⁴⁰ In both cases Google's so-called "technical defense"—asserting that filtering was too costly and therefore technically unfeasible—was refuted by the courts on the basis of expert-testimony reports to the contrary.¹⁴¹ In any event, obviously, the proposal's suggested monitoring obligation would have the most negative effect on companies that do not currently own any proprietary recognition technology, widening the gap between established and upcoming intermediaries. In particular, European intermediaries will be at a disadvantage because they will have to license filtering technologies from US companies like Google/YouTube and Audible Magic¹⁴² because currently no European companies make competitive filtering technologies. As most established market players are US-based, this proposal might be once again a bad trade-off for European companies—and push the Digital Single Market further away, rather than promoting it.

¹³⁷ See *infra* note 91.

¹³⁸ Netlog, *supra* note 121, at § 46.

¹³⁹ See Enforcement Directive, *supra* note 20, at Art. 3.

¹⁴⁰ See APC, *supra* note 112; Dafra, *supra* note 112.

¹⁴¹ *Id.*

¹⁴² See Audible Magic, <http://www.audiblemagic.com>.

3. Notice and Take-Down, Notice and Action, Notice and Stay-Down

The proposal would also require intermediaries to “put in place complaints and redress mechanisms that are available to users in case of disputes” over filtered content¹⁴³. The proposal does not develop further on how this counter-notice mechanism should work in practice. It does not provide for the development of best practices or standardization for counter-notices, while it does so for filtering mechanisms.¹⁴⁴ More importantly, little—or better nothing—is known on how filtering measures would will work in practice. Should intermediaries filter everything under the sun? Should they apply recognition technologies only to a pre-existing black list of protected works? Most likely, the specifics of both the filtering and redress system might result from voluntary efforts and best practices promoted by the industry alone, resembling closely a sectorial notice-and- take down system.

In this regard, it is odd that the proposal requires intermediaries to provide a redress mechanism for proactive takedowns, while overlooking the issue of a legislatively mandated—and long-awaited—horizontal notice-and-take-down system under the eCommerce Directive framework.¹⁴⁵ For the sake of systemic consistency, EU law should first set up a general notice-and-take-down and counter-notice system.¹⁴⁶ However, this is apparently not likely: as mentioned in the OP&DSM Communication, EU-wide notice- and-action procedures will be postponed for now as the Commission will assess the impact of on-going reforms first.¹⁴⁷

¹⁴³ DSM Directive Proposal, *supra* note 46, at Art. 13(2).

¹⁴⁴ *Id.*, at Art. 13(3); *see also* Husovec, *supra* note 47.

¹⁴⁵ *See* eCommerce Directive, *supra* note 2, at Art. 21 (foreseeing the possibility of the introduction of a complete notice-and-take-down procedure).

¹⁴⁶ *See* Copyright Reform: Open Letter from European Research Centres, EU Copyright Reform Proposals Unfit for the Digital Age (24 February 2017), *available at* <http://bit.ly/2loFISF> and Christina Angelopoulos, On Online Platforms and the Commission’s New Proposal for a Directive on Copyright in the Digital Single Market (2017), at 43-441, *available at* https://juliareda.eu/wp-content/uploads/2017/03/angelopoulos_platforms_copyright_study.pdf (both suggesting the introduction of an horizontal notice-and-action framework for hosting providers instead of the current Art. 13).

¹⁴⁷ *See* Communication, *supra* note 33, at 9.

For the future, a couple of additional options—besides the mentioned horizontal notice-and-takedown system—are being considered. First, a sectorial, problem-driven approach might utilize notice-and-action procedures with different requirements for the content of the notice.¹⁴⁸ According to the results to the *Consultation on Online Intermediaries*, different categories of illegal content require different notice-and-action procedures, especially content related to intellectual property rights, child abuse content, racism, and xenophobia.¹⁴⁹ Second, the Enforcement Directive might also be amended to explicitly establish that national courts must be allowed to order intermediaries to take measures aimed not only at bringing to an end past and ongoing infringements, but also at preventing further infringements. In that respect, according to the *Consultation on Modernization of IPRs' Enforcement*, the Directive should establish criteria on how “take down and stay down” should be undertaken without establishing a general monitoring obligation.¹⁵⁰ The viability of this approach remains to be seen.

V. Conclusions

The upcoming European Digital Single Market reform endorses a reaction to the platform economy that might prove a bad policy approach. A narrative emphasizing the “value gap”—rather than the added value—of the platform economy is counter-intuitive and disconnected from empirical evidence. The Commission’s reform package is apparently based solely on content industry assumptions and ignores much evidence that shows the positive effects that platforms, the Internet, and digitization have had on creativity. Overlooking this empirical evidence might result in a reform that will prove obsolete before it is implemented, and possibly be detrimental for the Digital Single Market.

In addition, the present reform proposal might threaten systemic consistency. The reform suggests revising intermediary liability principles

¹⁴⁸ See Commission, *supra* note 28, at 19–20; see also Aleksandra Kuczerawy, *Intermediary Liability & Freedom of Expression: Recent Developments in the EU Notice & Action Initiative*, 31(1) *COMPUTER LAW AND SECURITY REVIEW* 46 (2015).

¹⁴⁹ See Commission, *supra* note 32.

¹⁵⁰ See Commission, *supra* note 19, at C.2.3.

through a so-called “sectorial approach,” rather than amending the eCommerce Directive. This policy strategy is a sloppy attempt to circumvent the lack of consensus behind an amendment to the present intermediary liability regimes that might create unavoidable conflicts between norms. Intermediary liability reform should happen first and foremost in the context of the eCommerce Directive, rather than through sectorial copyright and audiovisual reform or the promotion of voluntary self-regulatory actions.

Finally, the proposed EU reform deploys a strategy that would apparently turn online intermediaries into Internet police. In truth, this comes as little surprise. Since the inception of the internet, governments and IP rightholders have attempted to enlist intermediaries to rid the internet of allegedly infringing and illicit materials. Proactive monitoring and “notice and stay-down” regimes would definitely be a step in that direction. Meanwhile, the endorsement of voluntary measures as a privileged tool to curb illicit and infringing activities online makes intermediaries prone to serve governmental purposes under murky, privately-enforced standards, rather than transparent legal obligations duly enforced by delegated agencies or the judiciary. In this sense, the intermediary liability discourse is shifting towards an intermediary responsibility discourse. This process might be pushing an amorphous notion of responsibility that incentivizes intermediaries’ self-intervention to police allegedly infringing activities in the Internet. Under this approach, due process and fundamental guarantees are replaced by algorithmic enforcement, silencing speech according to the mainstream ethical discourse. Ironically, such reforms might end up achieving the opposite of a culturally independent European Digital Single Market by promoting globalized enforcement via algorithms developed and controlled by major Silicon Valley companies.